Mitek Systems (MITK)

Fraud Tailwind Is Real

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*Fraud Tailwind Is Real. AI-assisted and synthetic identity fraud is driving bank demand; F&I SaaS grew 37% in FQ3 and the Check Fraud Defender consortium is compounding at 50%+ [Q3'26 call]. Execution Is Best-in-Small-Cap. Eight straight EPS beats, record 38.5% adjusted EBITDA margin, and guidance raised multiple times in FY26. The management team keeps under-promising and over-delivering [Q3'26 8-K]. Fairly Priced, Not Cheap. At $16.11 [Mkt 16-Oct-26], the DCF base $17.20 offers only 6.8% upside. The setup is a quality small cap at a fair price, not a bargain. Wait for weakness or an FQ4 beat to add. Our framework screens it as a **Hold** with a $17.21 blended target, 7% above the current price.*

HOLD	$17.21	+7%	$16.11
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Execution Is Best-in-Small-Cap. Eight straight EPS beats, record 38.5% adjusted EBITDA margin, and guidance raised multiple times in FY26. The management team keeps under-promising and over-delivering [Q3'26 8-K].

Fairly Priced, Not Cheap. At $16.11 [Mkt 16-Oct-26], the DCF base $17.20 offers only 6.8% upside. The setup is a quality small cap at a fair price, not a bargain. Wait for weakness or an FQ4 beat to add.

$54.0M	$29.0M	+37%	38.5%	$0.34	46%
REVENUE (FQ3 2026)	F&I REVENUE (FQ3 2026)	F&I SAAS GROWTH (FQ3)	ADJ. EBITDA MARGIN (FQ3)	NON-GAAP EPS (FQ3)	SAAS MIX (LTM REVENUE)

The moat is structural

AI-assisted and synthetic identity fraud wave increasing bank demand for multilayered verification

Three scenarios make the valuation range explicit

The DCF values Mitek Systems across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$14.09**	-13%
Base	50%	**$16.98**	+5%
Bull	25%	**$20.78**	+29%

Bear ($14.09, -13%): Growth disappoints and multiples compress; the $14.09 target marks the downside case.

Bull ($20.78, +29%): Execution compounds and the multiple rerates; the $20.78 target marks the upside case.

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The probability-blended target implies +7% upside

Blended target: $17.21 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +7% upside from the $16.11 reference price.

$17.21

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 13.5x [Mkt 16-Oct-26] DCF Base $17.20 [Mkt 16-Oct-26] PEG 1.38 [Mkt 16-Oct-26] DCF implies 6.8% upside. Reasonable absolute multiple for a growing software name.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $17.21 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI-assisted and synthetic identity fraud wave increasing bank demand for multilayered verification [Q3'26 call]

Check Fraud Defender consortium network: ACV >$19M, +50% YoY, top-5 US bank joined, FICO partnership [Q3'26 call]

SaaS transition: 46% of LTM revenue vs 40% a year ago; F&I SaaS growing high-teens to 20% [Q3'26 call]

What to monitor

10 Dec 2026. FQ4 2026 Earnings (Positive): Fiscal year ended Sep 30; guide was $189-198M full-year revenue. Tests whether raised outlook was conservative.

2027. Check Fraud Defender Expansion (Positive): FICO partnership plus top-5 US bank joining the consortium; ACV already >$19M and up 50%+ YoY.

2027. SaaS Mix Crossing 50% (Positive): SaaS at 46% of LTM revenue vs 40% a year ago; continued shift improves revenue visibility and multiple.

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REVENUE (FQ3 2026)	F&I REVENUE (FQ3 2026)	F&I SAAS GROWTH (FQ3)	ADJ. EBITDA MARGIN (FQ3)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2025	$180M	$153M	$9M
2024	$172M	$148M	$3M
2023	$173M	$150M	$8M
2022	$145M	$125M	$4M

Key risks

Legacy Check Decline. Check Verification revenue was +24% in FQ3 on renewal timing but is a structurally declining legacy base at ~$90M TTM. Renewal lumpiness can produce sudden quarterly air pockets. [Q3'26 call]

Lumpy License Revenue. Biometrics license activity drove the F&I beat but is explicitly lumpy; management warned it steps down sequentially in the back half of the year. [Q3'26 call]

Small-Cap Competition. A ~$730M small cap competing against larger fraud and identity platforms. Thin analyst coverage (3 analysts) means less institutional support and higher volatility. [Q3'26 8-K]

Investment view

A FQ4 beat with FY27 guidance pointing to sustained mid-teens F&I growth would lift Forward Growth and justify a re-rating. A license-driven miss or further Check Verification deterioration would cut Trend and Valuation.

Hold. The $17.21 blended target implies +7% upside, balancing the $14.09 / $16.98 / $20.78 Bear / Base / Bull targets.

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Upcoming catalysts

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